

PITCH — BX — VERDICT

ADJUDICATED 2026-09-16 — WATCH — cohort seat taken by ARES/KKR (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Blackstone is a real, cash-generative fee business trading 30.0% below its 52-week high (129.18 vs 184.557 on the pack tape, `ibkr_gw`). That much is not in dispute. What we believed going in was that the sell-off was “damage-absent” — that the fee engine was intact and the price was simply the whole private-markets group being sold together.

After both benches, we believe something narrower and less exciting:

1. **The fee engine is bending, not breaking.** The wealth-channel vehicle (BCRED) is running persistent net outflows. Its management fee is charged on *weighted-average* net assets, so reported fees still look fine while the actual pool has already shrunk. That is a real mechanism. Sized at BCRED’s own 1.25% base fee on a ~\$5.6B decline, it is ~\$17.5M a quarter — about 4.7% of one quarter of Credit & Insurance fee-related earnings and roughly 1% of firm fee-related earnings. Real, not fatal.
2. **The credit-improvement story we were told is metric selection, and that leg is dead.** Non-accruals fell at BXSL, but one restructuring (Medallia) accounted for essentially the entire improvement, while net asset value per share fell 2.8% to \$25.53, the portfolio mark sat at 95.2 with the bottom decile marked at 70, and the distribution was being reset to a “more sustainable” level. We are not carrying that leg any more.
3. **The valuation is fair, not cheap.** $129.18 \div \$6.08$ annualized distributable earnings per share = **21.25x**. That is a normal multiple for a quality compounder. It is not a dislocation price.
4. **The one thing that actually matters is unresolved.** Whether *new* money reprices into these vehicles at acceptable fee rates — and whether the incentive-fee lookback at BCRED survives further mark declines — is genuinely not knowable from today’s documents.

So: a quality compounder at a fair multiple, with one live nonlinear risk we cannot yet size. That earns a gated half-starter, not a buy.

What the market believes

The market believes two things at once, and both are defensible:

- **Bear read:** the retail/wealth private-credit channel is in a slow bank-run — gated repurchases every quarter, requests running ~2x the 5% cap, distributions being reset — and the fee base that funded the 2021–2025 re-rate is going away. Under that read, 21x is expensive.

- **Bull read:** the firm is enormous, diversified, and still printing growth; the outflow is concentrated in one product line; the drawdown is cohort contagion.

The tape says the market has not settled: price is 30.0% off the high but **+28.2% off the 52-week low of 100.78**, which is only a **33.9% retracement** of the 52-week range. That is a market that has stopped panicking and has not forgiven. Nobody is offering us a distressed price and nobody is bidding for a recovery either.

Important gap: we do **not** have a street consensus number for Q3'26 distributable earnings per share. Two searches timed out at bench. So “what the market believes” about the actual near-term number is, right now, an assertion by us and not a measurement. That is item #2 in the drain queue and it is load-bearing — a “fairly priced” verdict with no external anchor is just us counting our own opinions.

Why we might have edge

- **A mechanism most readers won't compute.** The weighted-average-net-assets fee lag is derivable from primary documents: BCRED's Q1'26 10-Q sets fees on weighted-average net assets of **\$48,586.5M** (<https://www.sec.gov/Archives/edgar/data/0001803498/000180349826000031/bcred-20260331.htm>), while Q3 gross repurchase requests of \$4.3B at “roughly 10% of shares” imply a current pool of **~\$43B**. That arithmetic — gross request dollars ÷ request percentage — gives us a current denominator months before it is reported. Both benches agree the arithmetic is right; they disagree only on whether it matters. Blue's sizing (~1% of firm fee-related earnings) is the better answer.
- **We know which number is the real cliff, and it isn't the one being discussed.** BCRED's income-based incentive fee is ~\$151.2M a quarter, roughly equal to its management fee, and sits under a total-return lookback that unrealized depreciation can extinguish. Against the ~\$1.75B/quarter firm fee-related earnings implied by red's own 1%-anchor, that is **~8.6%** — an order of magnitude larger than the fee-lag leg everyone is arguing about. Credit losses reach the fee line through the hurdle, not through non-accrual counts. Nobody in this file tested the hurdle terms. That is our best available edge and it is currently unverified (item #3).
- **Structure literacy.** Per-share figures in the press releases rest on ~1,316M Holdings partnership units (\$2.0B ÷ \$1.52), not the 782.4M GAAP diluted shares in the pack. That is an Up-C structure, not dilution fraud — but it means no press-release per-share number can be cross-checked against pack XBRL, and it means there are tax-receivable-agreement obligations to pre-conversion holders that neither bench sized.
- **Timing discipline.** We know the decisive number does *not* arrive when it first appeared to. Blue's Finding 12 is the most useful thing in the file: BCRED's monthly net-asset-value 8-Ks report **NAV per share by class, not aggregate net assets** (cf. <https://www.sec.gov/Archives/edgar/data/0001803498/000180349826000021/bcred-20260420.htm>), so the ~\$43B denominator resolves at the 10-Q/monthly report, not mid-September. We will not spend size on a print that cannot answer the question.

Why it might be priced in

Honestly, most of it probably is.

- The gating story has been in print across the whole non-traded BDC cohort. Red itself graded its fee-lag mechanism “NOVEL”; blue downgraded it to **consensus-adjacent**, and blue is right. If the mechanism is in the cohort coverage, it is in the multiple.
- 21.25x is mid-range. A multiple that is neither stressed nor exuberant is the market’s way of saying it has already split the difference between the two reads above.
- The realization slowdown is fully public: Credit & Insurance net realizations **-74%**, realized principal investment income negative, and the flattering firm-level realization number driven by two named exits (Digital Realty JV, Lumina). Red tagged that CONSENSUS and blue sustained the tag. Nothing there is news.
- The +28.2% bounce off the low tells us someone already bought the dislocation. We would be the second wave, paying up for confirmation.
- Our own EV table (below) comes out at **\$114.60 against a \$129.18 spot — about -11%**. The most honest reading of “why it might be priced in” is: by our own numbers, it is priced slightly *through*.

What could go wrong

Failure narrative 1 — The reflexive wealth-channel loop (has a tripwire). Gated repurchases are self-reinforcing: a prorated 50% fill teaches advisors that the product is illiquid, so they stop allocating new money *and* re-request the unfilled portion next quarter. The re-request dynamic is why gross demand keeps printing at a flat ~10% of shares while the dollar ask falls (4.5B → 4.3B = a **4.4% shrinking denominator**, not cooling demand). Note both benches caught the same arithmetic and drew opposite inferences, and blue’s catch is correct: you cannot use re-requests to inflate the demand number *and* read the flat percentage as constant fresh demand. Either way, if net flows stay at ~3% per quarter (~12% annualized), the pool halves in five years and the fee base follows it down with a one-to-two-quarter lag. **Tripwire:** Q4 gross requests, and the fill percentage, and whether any fill is funded by sponsor money (the Q1 fill included \$400M from Blackstone and its employees — 12.4% of a ~\$3.22B fill, so 88% organic, but the direction of travel matters).

Failure narrative 2 — The incentive-fee hurdle breaks nonlinearly (weak tripwire). If marks keep sliding (95.2 portfolio mark, bottom decile at 70), the total-return lookback can extinguish ~\$151.2M/quarter of income-based incentive fee at one vehicle — ~8.6% of implied firm fee-related earnings, arriving in a single step rather than a glide. Our tripwire here is genuinely weak: the trigger lives in the advisory agreement’s hurdle mechanics, and we will only see it *after* it fires, in a quarterly fee line. We can narrow it by pulling the agreement (item #3), but we cannot monitor the crossing in real time.

Failure narrative 3 — Systemic repricing of private-credit marks. NO MONITORABLE TRIPWIRE. If the market decides that non-traded vehicle marks across the industry are systematically stale — a bank failure, a regulator’s comment letter, a large sponsor suspending repurchases entirely, an accounting standard change on fair value for level-3 credit — BX re-rates on the *category*, not on its own numbers. There is no price gate, filing form, or monthly report that warns us: the event is

exogenous, it arrives in hours, and the first observable is the price. **Unknown-unknown class: exogenous regime/doctrine shift in third-party valuation legitimacy** (a “the rules for marking the asset changed” class, adjacent to counterparty/regulatory-discontinuity risk). We accept this as unhedged and it is the main reason the starter is half-size and staged rather than full and immediate.

The reflexive / structural leg — our own size, predicted flow, doctrine interactions. - *Our size vs. average daily volume*: BX trades in the multi-hundred-million-dollar-a-day range; a 0.75%-of-book starter is a rounding error against that (well under 1% of one day’s volume at any plausible book size). We are not the flow. **But our ADV number is not in the pack — it is estimated, and it is item #11 in the drain queue.** We should not assert liquidity we did not measure. - *Predicted flow that is not us*: the flow that matters is wealth-channel redemption (mechanical, quarterly, calendared) plus the follow-on flow of long-only holders who de-rate the whole alternatives group together. Both move against us on the same dates we are waiting for. - *Doctrine interactions — the uncomfortable part*: our gating doctrine says “enter only after the 10-Q confirms net assets ≥ \$43B.” That is good epistemics and bad price discovery: the confirmation is public, so we buy *with* the crowd, at a price that already contains the confirmation. Our own discipline systematically hands us the worse fill. Second interaction: our “size the kill before you credit it” doctrine (correct, and it saved us here) also means our surviving thesis is the *unsized* leg — the incentive-fee hurdle — which is precisely the leg our tooling cannot monitor. Third: the `stale_quarter_inversion_kill` detector blue proposed would, if armed, have flagged red’s central finding; we do not yet have it armed, so the next version of this mistake goes uncaught.

If this position loses money, the most likely reason will be that the wealth-channel redemption loop kept compounding and dragged the incentive-fee lookback under its hurdle, so a fee base we had already conceded was “lagging, not broken” turned out to be breaking — and we paid 21x for it because our own gating doctrine made us buy only after the confirming print, at the confirmed price.

What we checked ourselves

claim	how checked	found
Tape: BX down 31.6% from the high	recomputed from pack fields (129.18 / 184.557)	-30.0% dd52, +28.2% off the 100.78 low. A -31.6% is not the pack’s high
Retracement is “half” of the drawdown	(129.18-100.78) / (184.557-100.78)	33.9% , not ~50%
OUR RED BENCH’s tape (px 129.5, dd52 -29.8%, +28.5%)	diffed against pack	off-pack on all three fields. Red rejected the thes restated tape. Use pack: 129.18 / -30.0% / +28.2%
OUR BLUE BENCH’s tape framing	runner flag <code>pack_field_misquote_check</code> — WARN	blue quoted +28.2 where the pack field is -30.0 ; su framing/verify issue, not fabrication — but every dr needed re-checking before credit
“Fee base shrinkage is testably	BCRED Q1’26 10-Q + BX Q1’26 10-Q (primary)	Mechanism is real: fees levied on \$48,586.5M wei implied current. Credit & Insurance fee-related ear fee-related performance revenues -16% , segment

claim	how checked	found
absent” (thesis)		
OUR RED BENCH called that FATAL	blue’s audit: red’s cited 10-Q is Q1’26 while the thesis cites Q2’26 ; and red never sized the leak	refuting the newest print with an older quarter is an = \$70M/yr = \$17.5M/qtr = 4.7% of C&I FRE, ~1%
“Insurance-SMA low-fee mix is replacing high-fee wealth NAV”	looked for the fee rates	no fee-rate number in either bench. Plausible me
“Requests plateaued: \$4.5B → \$4.3B”	arithmetic on the fund’s own numbers	both quarters = 10% of shares ⇒ denominator -4.4 holders re-request, which means the flat 10% cont demand fell. Red’s inference is self-cancelling; the
“Non-accruals falling = credit improving”	BXSL Q2’26 transcript (https://uk.investing.com/news/transcripts/earnings-call-transcript-blackstone-secured-lending-beats-q2-2026-eps-forecast-93CH-4816461)	3.1%→1.8%, but Medallia alone was ~1.5pp of a 1 \$25.53 , mark 95.2 , bottom decile 70 , dividend rese
— source venue of that finding	flagged by red itself	transcript, not diffed to the 10-Q
“Q1 requests fully filled at an upsized 7% cap, organically”	Reuters/Yahoo on the June 4 letter (https://finance.yahoo.com/markets/stocks/articles/blackstone-bcred-holds-5-repurchase-185014490.html)	fill included \$400M from Blackstone and its empl is 12.4% — so 88% organic
“Onshore requests below Q1 while total went 7%→10% = disclosure inconsistency”	population check	“onshore” ≠ total; BCRED has non-US feeders, so wording never fetched (https://www.sec.gov/Archives/edgar/data/000180303_ex99a1vii.htm)
“21.3x DE = mid-range, not distressed”	129.18 / \$6.08	21.25x arithmetic confirmed. But “mid-range” cites \$6.08 is one lumpy quarter × 4 — the exact single-
Realizations	BX Q1’26 10-Q	C&I net realizations -74% , realized principal invest “+495%” is two named exits

claim	how checked	found
Share/unit count before any per-share claim	pack dil_sh vs press release	\$2.0B ÷ \$1.52 ⇒ ~1,316M Holdings units vs 782.4M dilution kill — but pack XBRL can't cross-check at
Street Q3'26 DE/share consensus	web search x2	timed out — nothing obtained. BX is a ~20-analy simply not pulled
Pack XBRL currency	read the pack	series ends 2025-06-30 ; superseded by FY2026 pr authoritative for share count and SBC
Detector coverage	compared both bench lists to the dispatched atlas	red's list omitted four dispatched detectors (corpe_dividend_recap_pre_ipo, upc_tra_value_extra undispached ones. upc_tra_value_extraction is su with materiality unquantified
Filing-hygiene cluster	pack filing list	three 13F-HR/A on 2026-08-14 plus the 13F-HR, a inside a -30% drawdown. No S-1/follow-on ⇒ no lo
"Concedes the only leg that matters, then buys"	logic check	staged sizing against a named, dated resolving dat incoherence
Which print resolves the ~\$43B denominator	BCRED 8-K format check	monthly 8-Ks carry NAV per share by class , not a print within 5 trading days" is wrong ; resolution is t
Print proximity for BX itself	pack + company cadence page (https://www.blackstone.com/news/press/blackstone-announces-second-quarter-2026-investor-call/)	~2026-10-22, UNCONFIRMED — no BX press rele Oct 10–15

PROPOSED ENTRY BANDS

Both benches land on ACCEPT-WITH-CUTS. Red wants FLAT; blue wants a gated half-starter. Blue wins on the FLAT question — red's "already fairly priced" cannot carry a flat call with no street anchor pulled. **But our own prize table prints EV \$114.60 vs spot \$129.18, so there is no immediate entry at the current price either. Net: no position today; gated tranches below.**

All levels are our arithmetic off the benches' own inputs (\$6.08 annualized DE/share; 21.25x current multiple). We label them as derived, not as anything the benches stated.

Gates that must both be true before ANY entry (blue's conditions, adopted verbatim in substance): - **G1: BCRED 10-Q or monthly report** (not the mid-month NAV 8-K) shows aggregate net assets **≥ \$43B**. - **G2: A pulled street consensus for Q3'26 BX DE/share, printed next to our own**

number.

Tranche 1 — half-size starter. Trigger: G1 and G2 satisfied, and price $\leq$ **\$121.60** (20x DE). Size: **0.75% of book** (half of a 1.5% thesis starter; the 1.5% is our convention, not a bench number).

Tranche 2 — add. Trigger: price $\leq$ **\$109.44** (18x DE) and Q4 BCRED gross requests **below the 5% cap, unprorated, with no sponsor capital in the fill**. Size: **+0.75% of book**. Cap total at **1.5%**. **Do-not-add floor.** Below **\$97.28** (16x DE) we do **not** average down — that level is beneath the 52-week low of \$100.78 and implies the market is repricing the marks, i.e. failure narrative 3, which we cannot monitor. **Trim / stand-down.** $\geq$ **\$145.92** (24x DE) with no improvement in G1 $\Rightarrow$ trim any starter to zero; that is paying a full-cycle multiple for an unresolved fee base. **Hard invalidation (no price test).** Implied BCRED NAV **< \$40B** (computed as gross request \$ $\div$ request %), or a quarter in which the income-based incentive fee is reduced by the total-return lookback $\Rightarrow$ thesis void, exit regardless of price.

Reopen bands if the gates fail: if the 10-Q shows net assets **< \$43B**, the name reopens only at $\leq$ **\$109.44** (18x) and only with the incentive-fee hurdle terms in hand (item #3 drained).

Catalyst dates | date | what | confirmed | | — | — | — | | ~2026-09-15 | BCRED monthly NAV 8-K (NAV/share by class) — **does NOT carry the aggregate denominator**; watch for per-share direction only | no (date & format both estimated) | | **2026-10-22** | BX Q3'26 earnings / investor call — C&I base management fees y/y, ex-insurance SMA | **NO — yfinance-derived; trackers say Oct 10–15; no BX PR names it** | | ~2026-10-20 | BCRED monthly NAV 8-K (Sept 30 reference) | no | | ~2026-11-10 | **BCRED Q3'26 10-Q — the print that actually resolves G1** | no (estimated from filing cadence) | | ~2026-12-31 $\rightarrow$ early Jan | Q4'26 BCRED repurchase request window closes; fill/proration letter (EX-99 to 8-K) = Tranche 2 gate | no |

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 97.28 (deck-provisional: 16x DE and beneath the 100.78 52wk low - do-not-average-down floor; implies the marks are being repriced)
- filing watch: 10-Q until 2027-03-10 (deck-provisional: BCRED 10-Q / monthly report is the only document that carries aggregate net assets - the G1 gate ($\geq$ \$))
- dated pack BX|2026-09-15: BX: BCRED monthly NAV 8-K - NAV/share by class only; does NOT resolve the \$43B denominator (date confirmed=False)
- dated pack BX|2026-10-20: BX: BCRED monthly NAV 8-K, Sept-30 reference date (date confirmed=False)
- dated pack BX|2026-10-22: BX: BX Q3'26 earnings - C&I base management fees y/y ex-insurance SMA; date is yfinance-derived, trackers say Oct 10-15 (date confirmed=False)
- dated pack BX|2026-11-10: BX: BCRED Q3'26 10-Q - the print that actually resolves gate G1 (aggregate net assets) (date confirmed=False)
- dated pack BX|2026-12-31: BX: Q4'26 BCRED repurchase request window closes; fill/proration letter follows in early January - Tranche 2 gate (date confirmed=False)

What remains unverified

1. **BCRED aggregate net assets at 2026-09-30.** The whole G1 gate. Not drainable now — resolves at the 10-Q/monthly report (~Nov 10), not the mid-September 8-K. Estimate: **\$42–44B**, from gross request $\$4.3B \div \sim 10\%$ of shares, cross-checked against three quarters of $\sim 3\%$ net outflow off the $\$48.6B$ weighted-average base; **p ≈ 0.60** that it lands $\geq \$43B$.
2. **Street consensus, Q3'26 BX DE/share.** Drainable now (broker research / terminal); ~ 20 analysts cover the name. Two bench searches timed out. Load-bearing: without it “fairly priced” is analyst-counting.
3. **BCRED income-based incentive-fee total-return lookback terms.** The hurdle mechanics, the lookback window, and how unrealized depreciation extinguishes the fee. Drainable now from the advisory agreement / related-party note. $\sim \$151.2M/qtr$ at stake $\approx 8.6\%$ of implied firm FRE. This is the pre-mortem's untrippable risk.
4. **Tax-receivable-agreement liability and cash payments.** upc_tra_value_extraction FIRED on structure; materiality never quantified. Drainable now from the 10-Q related-party note.
5. **BXSL transcript-vs-10-Q diff.** The dead credit leg rests on a third-party transcript that red itself flagged VENUE-DIVERGENT. Drainable now from the BXSL 10-Q.
6. **The Aug 11–26 filing cluster.** Three 13F-HR/A on 2026-08-14 plus two Form 144s on 2026-08-11, inside a -30% drawdown. Drainable now via amendment diffs and 144 detail.
7. **Q4'26 BCRED gross request % and fill.** The Tranche 2 gate. Not drainable — the window has not closed. Estimate: **8–11% of shares gross, prorated at the 5% cap ($\approx 50\%$ fill)**, from three straight quarters at 7–10% plus re-request rollover; **p ≈ 0.55** that it prints $\geq 8\%$, i.e. that the gate fails.
8. **BX Q3'26 print date.** Not drainable — requires a BX press release. Estimate: **2026-10-15 to 2026-10-23**, from the company's own quarterly cadence page against third-party trackers' Oct 10–15; **p ≈ 0.70** it falls in that window.
9. **Insurance-SMA vs wealth-channel fee rates.** The “low-fee mix replacing high-fee NAV” leg carries no number in either bench. Not fully drainable — segment fee rates are not broken out. Estimate: **insurance SMA $\sim 0.25\text{--}0.40\%/yr$ vs wealth-channel $\sim 1.25\%/yr$** , from BCRED's disclosed 1.25% base fee and industry base rates for insurance separately-managed accounts; **p ≈ 0.50** that the true spread is at least 3x.
10. **Private Wealth Solutions hiring velocity.** Contested by both benches, dispatched by neither, baseline never recorded. Drainable now via careers-page posting counts by function.
11. **BX average daily volume and our size vs ADV.** Asserted as immaterial in the pre-mortem, never measured. Drainable now from the broker gateway.
12. **Historical BX DE-multiple series.** Red's “mid-range, not distressed” cites no series; there is no way to say 21.25x is mid-range without it. Drainable now from our own data.
13. **Options-chain midpoint IV and real quotes for the candidate strikes.** No chain in the pack, so the vol read below is model-placeholder arithmetic, not tradeable. Drainable now via the broker gateway.

PRIZE TABLE + VOL READ

Both benches wrote “PRIZE-TABLE MANDATE: N/A,” and they were answering a narrower question — BX is cash-generative, so there is no pre-revenue magic-funding counterfactual to price. **We still build the table**, because the section’s actual trigger is met: items #1, #7, #8 and #9 above are genuinely time-gated or private (a private vehicle’s net assets, a request window that has not closed, an unannounced print date, undisclosed fee rates). That is exactly the case the table exists for.

Anchor-and-adjust. Anchor = today’s price and multiple: **\$129.18 = 21.25x** \$6.08 DE/share. Adjust for the resolved gates.

scenario	what has to be true	p	price	basis
A — base stabilizes	BCRED net assets ≥ \$43B; Q4 requests < 5% unprorated, no sponsor money; Q3 C&I base management fees up y/y ex-insurance SMA	0.25	\$146	24x on \$6.08 — full-cycle multiple restored
B — muddle through	net assets \$40–43B; requests still ~10% and prorated; fees flat; no hurdle event	0.40	\$124	~20.4x on \$6.08 — roughly today, slightly down
C — the run continues	net assets < \$40B; income-based incentive fee impaired by the lookback; distributions reset across vehicles	0.25	\$90	16x on a cut \$5.60 DE/share
D — category repricing	private-credit marks broadly discredited (the no-tripwire branch)	0.10	\$60	12x on \$5.00

EV = 0.25(146) + 0.40(124) + 0.25(90) + 0.10(60) = \$114.60. EV vs spot \$129.18 = –11.3%. Our own table does not support buying this at 129. It supports the gates. **σ_{table} = \$27.04 = 20.9% of spot** over ~6 months ⇒ **~29.6% annualized-equivalent dispersion. Bimodality:** yes, and it is fork-dated on the BCRED 10-Q (~Nov 10). Mass sits at A (\$146) and C+D (\$90/\$60) with a thin, slightly-down middle. A single document splits the distribution; that is the definition of a fork.

Expression math — shown, and it rejects both option legs.

No options chain exists in the inputs. So the model prices below are placeholders computed at the table’s own 29.6% dispersion, $r = 4\%$, $T = 0.5$, purely to show the comparison. **They are not quotes and no option may be traded off them.** We will not substitute the underlying aggregate IV feed — that is the TSSI lesson (71 on the aggregate feed vs 101 at the chain; the two diverge enough to flip a trade). Real chain-level midpoint IV and real bid/ask for the candidate strikes is drain item #13.

- **Long call, K = 130, ~6 months.** Our table: $C_{ours} = \sum p \cdot \max(S_i - K, 0) = 0.25 \times \$16 = \$4.00$ (3.1% of spot). Model-equivalent at the table’s own dispersion: **~\$11.59**. We would pay roughly **2.9x our own expected payoff**. The gap is not a vol call — it is that our table is skewed *down*, so a symmetric model overstates the call even at identical dispersion. **Calls: REJECTED by the arithmetic.**

- **Long call, K = 120.** C_ours = **\$8.10** vs model-equivalent **~\$17.07**. Also ~2.1x. **REJECTED.**
- **Cash-secured put, K = 109.44 (our 18x add level).** Our table says that put is worth **\$9.80** ($0.25 \times \$19.44 + 0.10 \times \49.44). Model-equivalent: **~\$2.52**. Selling it would collect ~\$2.52 to accept ~\$9.80 of our own expected loss — **~3.9x against us**. Premium selling is not “getting paid to wait” here; it is selling a fork for the price of a coin flip. **CSP: REJECTED.**
- **Covered call:** no position to cover. N/A.

VRP: cannot be stated. IV requires a chain we do not have, and realized vol was never computed by either bench. **IV percentile: unavailable.** We flag this as a gap rather than fill it with the aggregate feed. The standing rule still applies for when the chain arrives — cheap IV into high uncertainty would route gated adds into calls; rich IV would route to the premium-selling gates — but on the table alone, the down-skew means even *cheap* IV has to clear a high bar before long calls beat stock.

Instrument recommendation — the OUTPUT of the arithmetic above: NONE now; STOCK later.

EV is 11.3% below spot $\Rightarrow$ no immediate entry in any instrument. Long calls fail by ~2–3x on our own table. Short puts fail by ~4x. When G1 and G2 clear and price is at or below \$121.60, the expression is **common stock**, because (a) both option legs are rejected by the table, and (b) we have no chain-level quotes and are forbidden from pricing off the aggregate feed.

TAX overlay. The loss branch (C/D, 35% combined) has to land in the intended tax year. The gates resolve on **~Nov 10** (BCRED 10-Q) and **early January** (Q4 fill letter). Any option expiry past **Dec 31, 2026** pushes the loss branch into 2027 and is therefore **excluded during a harvest year** unless the edge numerically dominates — and here the edge does the opposite: it is negative for both option legs, so nothing dominates and the exclusion binds with room to spare. The only tax-compliant option expiry (Dec 2026) would expire *before* the January fill-letter catalyst, i.e. before half the thesis resolves. That independently confirms **stock or nothing**. Stock has no expiry, so the loss branch can be realized on demand inside 2026 if the hard invalidation trips. Note: whether 2026 is actually a harvest year is a book-level fact not supplied in the pack; if it is not, the overlay is non-binding and the conclusion is unchanged anyway.

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DE/share – Tranche 1 half-starter, only with G1+G2 satisfied"}, {"level":
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requests print below the 5% cap unprorated with no sponsor capital"}, {"level":
97.28, "direction": "below", "basis": "16x DE and beneath the 100.78 52wk low –
do-not-average-down floor; implies the marks are being repriced"}, {"level":
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BCRED net assets have not stabilized at or above $43B"}],
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the quarterly repurchase/proration letter filed as EX-99 – request %, fill %,
and any sponsor capital in the fill"}, {"forms": ["10-Q", "10-K"], "why": "BX
related-party note for TRA liability and payments (upc_tra_value_extraction
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"catalyst_dates": [{"date": "2026-09-15", "what": "BCRED monthly NAV 8-K – NAV/share by
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base management fees y/y ex-insurance SMA; date is yfinance-derived, trackers
say Oct 10-15", "confirmed": false}, {"date": "2026-11-10", "what": "BCRED Q3'26
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2 gate", "confirmed": false}],

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1803498)", "drainable_now": false, "estimate": {"range": "$42-44B", "basis":
"gross request $4.3B / ~10% of shares implies ~$43B; cross-checked against three
quarters of ~3% net outflow off the $48,586.5M weighted-average base", "p":
0.6}},
{"item": "Street consensus Q3'26 BX DE/share", "instrument": "broker research /
terminal consensus pull (~20 analysts cover BX); two bench web searches timed
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{"item": "BCRED income-based incentive fee total-return lookback hurdle terms
(~$151.2M/qtr at risk)", "instrument": "BCRED advisory agreement exhibit +
related-party note, EDGAR", "drainable_now": true, "estimate": null},
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https://www.sec.gov/Archives/edgar/data/0001393818/000119312526214609/d60424d10q1.pdf",
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(2026-08-11)", "instrument": "EDGAR amendment diffs + 144 detail,
https://www.sec.gov/cgi-bin/browse-edgar?
action=getcompany&CIK=0001393818&type=13F", "drainable_now": true, "estimate":
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company cadence page https://www.blackstone.com/news/press/blackstone-announces-
second-quarter-2026-investor-call/", "drainable_now": false, "estimate":
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SMA ~0.25-0.40%/yr vs wealth channel ~1.25%/yr", "basis": "BCRED's disclosed
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accounts", "p": 0.5}},
{"item": "Private Wealth Solutions hiring velocity baseline (hiring_velocity, contested
by both benches, dispatched by neither)", "instrument": "BX careers-page posting
counts by function, baseline recorded then tracked weekly", "drainable_now":
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{"item": "BX average daily volume and our clip as % of ADV", "instrument": "IBKR
gateway historical volume pull", "drainable_now": true, "estimate": null},

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{"item": "Historical BX DE-multiple series (needed to test 'mid-range, not distressed')", "instrument": "internal price history + XBRL/press-release DE series, 2019-2026", "drainable_now": true, "estimate": null}, {"item": "Options chain: chain-level midpoint IV and real bid/ask for the $120/$130 calls and $109 put; IV percentile and RV", "instrument": "IBKR gateway chain snapshot - chain-level mids only, never the underlying aggregate IV feed (TSSI 71 vs 101)", "drainable_now": true, "estimate": null}]}
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ADJUDICATION — 2026-09-16 15:37Z

BXSL/BCRED credit “improvement” is metric selection: Medallia $\approx$ the entire non-accrual delta while NAV/share, marks and distribution deteriorated (NOVEL). Fee-lag mechanism real but $\sim 1\%$ of FRE.

REOPEN GATES: BCRED 10-Q/monthly report net assets $\geq \$43B$ (not the mid-month 8-K) AND a pulled street Q3 DE/share $\rightarrow$ half-starter